

MCQs for practice: Ch – 3: Ledgers and Trial Balance

Q1. The main purpose of maintaining ledger accounts is to:

- a) Record transactions in chronological order
- b) Post entries from journal into classified accounts**
- c) Prepare financial statements directly
- d) Detect errors automatically

Q2. Which of the following ledgers is used to maintain individual customer accounts?

- a) General Ledger
- b) Receivable Ledger**
- c) Payable Ledger
- d) Nominal Ledger

Q3. A trial balance is prepared to:

- a) Prove the accuracy of transactions
- b) Check the mathematical accuracy of postings**
- c) Detect all types of errors in the books
- d) Prepare only income statement

Q4. Which of the following errors will NOT affect the agreement of a trial balance?

- a) Partial omission of entry
- b) Posting on the wrong side of an account
- c) Complete omission of entry**
- d) Recording different amounts on debit and credit side

Q5. The credit balance in the trial balance usually represents:

- a) Assets
- b) Expenses
- c) Liabilities and Income**
- d) Drawings

Q6. Which type of ledger contains both real and nominal accounts?

- a) General Ledger**
- b) Sales Ledger
- c) Purchase Ledger
- d) Receivable Ledger

Q7. Which of the following statements is correct?

- a) All debit balances represent assets only

- b) Trial balance proves that books are completely error-free
- c) Ledger accounts are grouped for preparation of trial balance**
- d) Trial balance can detect complete omission errors

Q8. The total of the Purchases Journal is posted to:

- a) Debit side of Purchase Account**
- b) Credit side of Purchase Account
- c) Debit side of Supplier's Account
- d) Credit side of Cash Account

Q9. Which of the following best describes the General Ledger?

- a) Contains only personal accounts
- b) Contains only real accounts
- c) Contains all real and nominal accounts**
- d) Contains only nominal accounts

Q10. The balance of "Salaries Expense" account in ledger will normally appear as:

- a) Debit balance**
- b) Credit balance
- c) Either debit or credit
- d) Nil balance

Q11. If Sales are posted twice in the ledger, the effect on trial balance will be:

- a) No effect on agreement of trial balance
- b) Debit side will exceed
- c) Credit side will exceed**
- d) Trial balance will not tally

Q12. Which of the following books of accounts is also called the books of secondary entry?

- a) Journal
- b) Ledger**
- c) Subsidiary Book
- d) Cash Book

Q13. Accounts relating to income and expenses are classified as:

- a) Real accounts
- b) Nominal accounts**
- c) Personal accounts
- d) Control accounts

Q14. The balances of which accounts are carried forward to the next period without closing?

- a) Revenues and expenses
- b) Assets and liabilities**
- c) Income and drawings
- d) Nominal accounts

Q15. The process of balancing an account means:

- a) Closing the account permanently
- b) Finding difference between debit and credit sides**
- c) Writing only credit totals
- d) Preparing trial balance

Q16. The purpose of preparing a Chart of Accounts is to:

- a) Record all transactions in sequence
- b) Provide systematic coding and classification of accounts**
- c) Replace the trial balance
- d) Detect errors in ledger

Q17. In double entry system, ledger posting is made from:

- a) Journal only
- b) Trial balance
- c) Books of prime entry**
- d) Financial statements

Q18. Which of the following balances is expected in Receivable Ledger?

- a) Only debit balances
- b) Only credit balances
- c) Debit balances with occasional credit balances**
- d) Only nominal balances

Q19. At the end of the period, revenue and expense accounts are transferred to:

- a) Statement of Financial Position
- b) Statement of Profit or Loss**
- c) Trial Balance
- d) None of the above

Q20. Which of the following accounts is not closed at year-end?

- a) Expense account
- b) Income account
- c) Capital account**
- d) Revenue account

Q21. Which of the following accounts will NOT appear in the un adjusted Trial Balance?

- a) Cash
- b) Sales
- c) Capital
- d) **Inventory**

Q22. Trial balance provides the list of:

- a) Only debit balances
- b) Only credit balances
- c) **Both debit and credit balances**
- d) Only nominal balances

Q23 Closing entries are required for:

- a) Real accounts only
- b) Personal accounts only
- c) **Nominal accounts only**
- d) All accounts

Q24. The balance of the profit or loss account after closing revenue and expense accounts is transferred to:

- a) Drawings account
- b) **Capital account**
- c) Cash account
- d) None of the above

Q25. The balance carried forward in ledger accounts represents:

- a) Balance of previous year
- b) **Difference carried to next period**
- c) Only credit balance
- d) Only debit balance

Q26. Which of the following best describes a Trial Balance?

- a) A summary of all journal entries
- b) **A list of debit and credit balances of all ledger accounts**
- c) A financial statement prepared at year end
- d) A book of original entry

Q27. If a liability account is debited and an asset account is credited by the same amount, the effect on trial balance will be:

- a) Debit side exceeds

- b) Credit side exceeds
- c) No difference – trial balance still agrees
- d) Trial balance will not tally

Q28. Which ledger account is classified as a real account?

- a) Rent Expense
- b) Cash**
- c) Salaries Payable
- d) Sales Revenue

Q29. Which of the following will not appear in General Ledger?

- a) Purchases Account
- b) Rent Expense
- c) Sales Return Journal**
- d) Capital Account

Q30. When closing accounts at period end, balances of assets are transferred to:

- a) Statement of financial position**
- b) Profit & Loss Account
- c) Trial Balance
- d) Capital account

Q31. Closing entries are passed at the:

- a) Beginning of the accounting period
- b) End of the accounting period**
- c) Middle of the accounting period
- d) When trial balance is prepared

Q32. Which of the following is NOT an advantage of trial balance?

- a) Helps to prepare financial statements
- b) Locates certain types of errors
- c) Ensures all transactions are recorded**
- d) Summarizes ledger balances

Q33. If Wages Expense of Rs. 5,000 is wrongly debited to Furniture Account, the trial balance will:

- a) Still agree**
- b) Show debit side excess
- c) Show credit side excess

d) Fail to tally

Q34. In closing entries, the balance of drawings account is transferred to:

a) statement of comprehensive income

b) Cash account

c) Capital account

d) None of the above

Q35. Which of the following will be carried forward to the next accounting year?

a) Wages Expense

b) Salaries Expense

c) Accounts Receivable

d) Rent Expense

Q37. In ledger format, the "Description" column records:

a) Closing balance

b) Details of the corresponding account

c) Totals of accounts

d) Date of posting only

Q38. Which of the following will have a normal credit balance?

a) Rent Expense

b) Salaries Expense

c) Accounts Payable

d) Furniture

Q39. Which account is closed at year-end by transfer to Profit or Loss Account?

a) Plant & Machinery

b) Capital

c) Rent Expense

d) Accounts Receivable

Q40. Which of the following accounts usually have credit balances?

a) Assets and expenses

b) Liabilities and incomes

c) Assets and incomes

d) Expenses and liabilities

Q41. Which book serves as the principal book of accounts?

a) Journal

b) Ledger

- c) Cash book
- d) Purchases day book

Q42. When the trial balance does not agree, which statement is true?

- a) It means there are no errors in books
- b) Errors exist and must be located before preparing financial statements**
- c) It has no impact on preparation of accounts
- d) It means profit is overstated

Q43. Which of the following is true regarding a general ledger?

- a) It contains only personal accounts
- b) It records only cash and bank transactions
- c) It contains all real and nominal accounts**
- d) It is also called purchases ledger

Q44. Which ledger is sometimes referred to as the “Debtors Ledger”?

- a) General ledger
- b) Receivables ledger**
- c) Nominal ledger
- d) Payable ledger

Q45. The General Ledger is also called:

- a) Day book
- b) Principal book of accounts**
- c) Subsidiary ledger
- d) Journal proper

Q46. The balance of an expense account normally appears on:

- a) Debit side of trial balance**
- b) Credit side of trial balance
- c) Both debit and credit sides
- d) None of these

Q47. Which of the following accounts normally shows a credit balance in the trial balance?

- a) Returns inwards
- b) Carriage inwards
- c) Carriage outwards
- d) Returns outwards**

Q48. The main purpose of preparing closing entries is to:

- a) Correct trial balance errors
- b) Transfer results of nominal accounts to capital**
- c) Prepare statement of financial position
- d) Avoid fraud

Q49. After closing entries, the only accounts left with balances are:

- a) Revenues and expenses
- b) Income and drawings
- c) Assets, liabilities, and capital**
- d) Nominal accounts

Q50. Which of the following balances normally shows a debit balance?

- a) Sales
- b) Cash at Bank**
- c) Accounts Payable
- d) Capital

Q51. Ledger folio in General Journal shows:

- a) Date
 - b) Account name
 - c) Account number
 - d) Page number of ledger account**
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